

The latest snare waiting to trip up the unwary and impatient young athlete is the payday loan. For a very large fee, professional athletes can get huge advances on their salaries. These loans can be usurious, with fees and interest adding up to annual rates of 25% or higher. These are to be avoided at all costs.

Watch your costs

Investors must recognize that costs, taxes, and excess fees are a killer of portfolios over the long term.

So too are ill-advised investments or loans. DO NOT give loans or investments to friends or family. Distant relatives suddenly appear after a windfall, with business plans or sad stories (e.g., requests for money). Tell them your advisor/business manager handles those requests (don't tell them the answer will always be "No!").

And for God's sake, whatever you do, don't put money into a restaurant, play, or movie.

Athletes, lottery winners, IPO stock, employee stock ownership plans—many of these folks end up in rough financial shape after blowing through their windfall. There is no big secret to avoiding this fate. Some planning, a little supervision, and patience always lead to better outcomes. I hope the trillions that will soon be in new hands get managed better than what we have seen in these pages.



The lure of high profits is catnip to greedy investors. In the next chapter, we learn that when an investment looks too good to be true, it probably is...

[280](#) Pablo S. Torre, "How (and Why) Athletes Go Broke," *Sports Illustrated* (March 23, 2009).

[281](#) Barry Ritholtz, "Congratulations! You just signed a \$325 million deal. Now what?" *The Washington Post* (November 21, 2014).

[282](#)

Barry Ritholtz, "Professional athletes need to learn to keep their finances in good shape," *The*